Banking (Victoria Falls International Financial Services Centre) (Financial Technology) Regulations, 2026

ARRANGEMENT OF SECTIONS

PART I

PRELIMINARY

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SCHEDULE

IT is hereby notified that the Minister of Finance, Economic Development and Investment Promotion, in terms of section 81 of the Banking Act [*Chapter 24:20*], has made the following regulations:—

Title

1. These regulations may be cited as the Banking (Victoria Falls International Financial Services Centre) (Financial Technology) Regulations, 2026.

Interpretation

2. In these regulations—

"Approved Individuals and Designated Individuals" means an individual who is appointed by an authorised person to carry out a designated function;

"Centre" means the Victoria Falls International Financial Centre;

"Department" means the Victoria Falls International Financial Services Department established in terms of section 4;

"FinTech Lab or Sandbox Activities" means a regulatory environment within the Victoria Falls International Financial Services Centre that allows persons to develop, test, or develop and test innovative financial products, services, or business models without immediately subjecting them to the full set of regulatory requirements under these regulations and the rules made thereunder;

"international financial services centre" means the Victoria Falls International Financial Services Centre.

Application

3. These regulations shall apply within the jurisdiction of the international financial services centre.

Establishment of Victoria Falls International Financial Centre Technology Department

4. (1) There is hereby established a Department to be known as the Victoria Falls International Financial Centre Technology Lab in the Centre.

(2) The Department shall—

(a) administer the regulatory financial technology laboratory (FINTECH Lab) programmes;

(b) act as a liaison between private enterprises and relevant agencies to identify state laws or regulations that could potentially be waived or suspended under the regulatory FINTECH Lab programme;

(c) create a framework for analysing the risk level to the health, safety, and financial well-being of consumers related to permanently removing or temporarily waiving laws and regulations inhibiting the creation or success of new and existing companies or industries;

(d) propose potential reciprocity agreements between states that use or are proposing to use similar regulatory FINTECH Lab programs, including making rules regarding the application process and the reporting requirements of sandbox participants;

(e) set digital asset thresholds applicable to FINTECH Lab participants by reference to percentages of client assets or asset under management (AUM) rather than fixed Bitcoin (BTC) equivalence, and review such thresholds quarterly and adjust them in line with prevailing market conditions;

(f) adjust limits on digital asset holdings as per Table 1 in the Schedule by reference to percentage-based thresholds linked to the market value of assets under management, rather than fixed BTC equivalents, and such adjustments shall be published quarterly.

(3) The Department shall be headed by a Head of Department (HoD), who shall be accountable to the Centre.

(4) The HoD shall exercise the following functions—

(a) prepare draft rules, codes of practice, and submit them to the Centre for consideration;

(b) prepare and adopt guidance for the Victoria Falls International Financial Services Centre FinTech Lab

participants, and seek approval of the Centre for guidance;

(c) issue and approve the necessary forms, procedural guidance and other necessary documents pertinent to these regulations;

(d) initiate and convene meetings for the authorisation of FinTech Lab applicants;

(e) devise a tailored regulatory regime for FinTech Lab participants to test or develop the FinTech activities within the FinTech Lab, including, without limitations, the following—

(i) create and modify eligibility criteria on a case-by-case basis at his or her own discretion after due consideration of risks posed by the proposed FinTech;

(ii) issue individual guidance to the FinTech Lab participant having regard to specific characteristics of the participant, or risk posed by a specific FinTech activity of the FinTech Lab participant;

(iii) holding the signature right of various legal matters;

(iv) issue licences, modify, suspend or revoke the licences at any time at his or her own discretion due to necessity to pursue one or more regulatory objectives;

(v) waive or modify any conditions, restrictions, or requirements of the framework regulations or the rules defining the conditions to apply to FinTech Lab participants upon authorisation through different stages of testing or developing their FinTech activities; or

(vi) exercise all or any of the following functions in relation to FinTech activities.

(f) perform any other functions that he or she considers necessary in addressing any matters in Fintech.

(5) The HoD may delegate any of his or her functions to any employee in the Department.

Financial Technology Lab

5. (1) The FinTech Lab—

(a) allows a participant to test or develop the FinTech activities without being immediately subject to the full set of regulatory requirements under the framework regulations and rules made thereunder;

(b) is designed to allow participants to deliver effective competition in the interests of consumers by—

(i) reducing the time, and potentially the cost, of getting FinTech to market;

(ii) enabling greater access to the market for innovative persons, including start-ups;

(iii) the Department collaborating with the person to ensure that the appropriate consumer protection safeguards are built into their FinTech activities; and

(iv) enabling FinTech activities to be tested or developed;

(c) is intended to incorporate appropriate safeguards to identify and manage potential and actual risks in order to promote the development of FinTech activities.

(2) The regime for testing the FinTech activities is a live environment which allows a person to test the validity of the following types of activities in a cost-effective and timely manner, in close collaboration with—

(a) financial activities which are being regulated in the Centre or similar to those that are already being regulated in the international financial services centre, where—

(i) a different technology or process is being applied; or

(ii) the same technology or process is being applied differently, meaning that an established technology or process is being applied to create a new business model; or

(b) financial activities not currently regulated in the international financial services centre but regulated in other jurisdictions; or

(c) activities likely to be regulated in the international financial services centre as a financial or an ancillary service.

(3) The regime for testing the FinTech activities is also suitable for a start-up that does not satisfy the full set of requirements for regulated activities but intends to deploy FinTech activities and to commit to complying with regulatory obligations gradually, with the approval of the Department.

(4) The FinTech activities specified in subsections (2) and (3) must be intended to bring benefits to consumers, which may include, for example, an increase in accessibility, efficiency, security and quality in the provision of financial services, thus promoting better risk management solutions and regulatory outcomes for the financial industry.

(5) Digital assets, including but not limited to cryptocurrencies, stablecoins, utility tokens, and security tokens, may be authorised for testing and development under the FinTech Lab.

(4) Security tokens representing ownership rights, debt instruments, or other investment interests shall be deemed equivalent to securities under the Centre framework.

Developing Financial Technology activities

6. (1) Developing FinTech activities—

(a) provides access to a live market environment in which a person can engage in activities that are currently regulated by the Department, or not regulated, without immediately being subject to the full set of regulatory requirements under the framework regulations and rules made thereunder;

(b) is appropriate in the circumstances where—

(i) it is not clear whether the proposed FinTech activity would have demand in Zimbabwe or the regional market; and

(ii) a person has a licence to operate the proposed FinTech activity in other jurisdictions which are not currently regulated by the Department, subject to the Department being satisfied that those jurisdictions have appropriate regulatory standards and practices.

(2) For the purposes of subsection (1), the FinTech activities that are eligible for the FinTech Lab are those that are regulated and those that are not regulated by the Department.

Application to test or develop Financial Technology activities

7. (1) No person shall test or develop FinTech activities within the FinTech Lab unless he or she holds a licence issued by the HoD.

(2) Any person seeking to test or develop the FinTech activities within the FinTech Lab must apply to the Department in a form and manner specified by the Department.

(3) The application made in terms of subsection (2) must—

(a) meet the eligibility requirements specified in sections 5 and 6; and

(b) satisfy the application requirements specified in subsection (7) to be granted a licence.

(4) Before lodging an application, an applicant must comply with the eligibility criteria by completing the pre-application form, which is intended to—

(a) provide information to the Department regarding the proposed FinTech activities;

(b) verify its suitability for support from the FinTech Lab; and

(c) enable the applicant to become familiar with the Department's approach in fostering innovation within the FinTech Lab.

(5) The pre-application process is intended to verify the eligibility of a participant to test or develop the FinTech activities within the FinTech Lab.

(6) Once the Department is satisfied that the participant meets the eligibility criteria, the Department will invite the person

to proceed with the submission of additional information necessary for assessment and authorisation purposes.

(7) In assessing the application, the Department will consider whether the applicant—

(a) has performed a rigorous due diligence on the legal and regulatory requirements of the Centre for deploying the proposed FinTech activities and understands them; and

(b) has the necessary financial and non-financial resources to support testing and developing the FinTech activities in the FinTech Lab; and

(c) the applicant is fit and proper; and

(d) has submitted to the Department the business, testing or development plan; and

(e) submitted any other documentation that the Department may consider relevant.

(8) Upon submission of the application form, the Department will review the application and either grant a licence to an applicant or reject the application.

(9) Where an application has been rejected, the Department shall give reasons for its denial to the application.

(10) Nothing in these regulations prevents the participant whose application had been rejected from applying to the FinTech Lab again, provided that the issues causing the rejection of the application have been addressed.

Fintech Lab participants

8. (1) FinTech Lab participants may deploy smart contracts and distributed ledger technology (DLT) solutions:

Provided that the smart contracts and DLT are tamper-resistant.

(2) Smart contracts executed in accordance with these regulations shall be recognised as enforceable.

(3) FinTech Lab participants offering payment services or digital banking solutions must build systems compatible with open banking standards and global API frameworks to ensure interoperability and cross-border scalability.

(4) FinTech Lab participants may deploy artificial intelligence (AI) and machine learning (ML) systems for financial services, including credit scoring, robo-advisory, risk management, fraud detection, and automated trading, provided they meet the following requirements—

(a) Transparency: firms must maintain documentation explaining how AI/ML systems reach decisions;

(b) Accountability: an individual must be designated as responsible for oversight of AI/ML models;

(c) Fairness: AI/ML systems must be periodically tested for bias and discriminatory outcomes;

(d) Resilience: AI/ML systems must have fallback mechanisms in the event of malfunction or bias detection.

(5) FinTech Lab participants deploying algorithmic trading or robo-advisory systems shall disclose the key parameters, risk controls, and client suitability checks embedded in their systems, and provide clients with a plain-language explanation of how recommendations are generated.

(6) FinTech Lab participants may integrate regulatory technology (RegTech), including AI-driven compliance reporting, anti-money laundering (AML) monitoring, and supervisory dashboards. The Department may accept AI-generated compliance reports where they are supported by verifiable data trails.

(7) Participants may migrate to a graduated licensing regime, where regulatory requirements (capital, reporting, governance) increase progressively with business size, complexity, or client exposure. This regime may include micro-licences, limited-scope licences, and full licences.

(8) Where a FinTech Lab participant provides services to retail clients, it shall maintain either—

(a) a professional indemnity insurance cover; or

(b) a client compensation guarantee arrangement;

in order to protect consumers in the event of participant failure.

Issuance of licence

9. (1) A licence issued by the HoD in terms of these regulations serves as an authorisation of a participant to—

(a) test the Fintech activities within the FinTech Lab; or

(b) develop the Fintech activities within the FinTech Lab.

(2) The Department may issue a FinTech Lab express licence for low-risk FinTech activities such as payment solutions, RegTech, insurance technology (Insurtech), or AI compliance tools.

(3) The Department shall take no more than twenty-one days to grant a licence where eligibility conditions are met.

(4) The Department may recognise sandbox licences or approvals issued by other international financial centres with comparable regulatory standards. Such recognition shall allow foreign FinTech firms to test and operate within the international financial services centre without duplicative licensing, subject to notification and compliance with local consumer protection safeguards.

(5) The Department may introduce an AI Sandbox Express route for low-risk AI solutions, including RegTech, compliance automation, and fraud detection. Such applications shall be processed within thirty business days, subject to risk assessment.

(6) The Department shall establish a RegTech interface allowing FinTech Lab participants to submit compliance reports digitally using AI-assisted templates, with real-time supervisory analytics applied to submitted data.

Validity of licence

10. (1) A licence issued in terms of these regulations shall be valid for a period of two years.

(2) The validity of the FinTech Lab licence may be extended beyond two years where the Department is satisfied that the participant demonstrates—

(a) innovative potential;

(b) no significant consumer harm; and

(c) a clear migration pathway.

Extension, varying, withdrawal of licence

11. (1) A Participant may apply to the Department to extend, vary or withdraw a licence.

(2) The Participant may submit an application for the licence extension, no later than two months before the licence expiration date.

(3) The participant is entitled to apply to the Department to extend the validity, to change the scope, and to have a condition or restriction varied or withdrawn from its licence or to have its licence withdrawn by—

(a) filing a written request with the Department accompanied by such documents as may be requested by the Department; and

(b) providing such further information as the Department may require.

(4) Each application for an extension, variation or withdrawal of the licence must be accompanied by sufficient reasons for such an application.

(5) In the case of withdrawal of the licence, the participant must follow the procedure specified in subsection (2).

(6) The HoD may approve the extension, variation or withdrawal of the licence on a case- by-case basis.

(7) The HoD, subject to seven days' prior notification to the participant and consideration of any comments received from the participant, may vary the terms of a licence on his or her own initiative and at his or her own discretion based on the progress of the participant in testing or developing the FinTech activities.

Suspension or revocation of license

12. (1) The HoD may suspend or withdraw a licence—

(a) based on an application of the participant; or

(b) at his or her own discretion, if he or she—

(i) is satisfied that there is a breach, or likely breach of a provision of legislation administered by the Department; or

(ii) there is a failure, or likely failure, to comply with any obligation to which the participant is subject

under the licence; or

(iii) considers that the exercise of the power is necessary or desirable in the interests of the Centre as the risks posed by the testing or developing FinTech activities exceed the benefits to consumers or the financial system.

(2) Upon revocation or withdrawal of a licence, the participant must—

(a) immediately implement its exit strategy to cease provision of the FinTech activities to new and existing customers;

(b) provide notification to customers informing them of the cessation and their rights to redress, where relevant;

(c) compensate any customers who had suffered financial losses from engaging with the participant pursuant to the safeguards submitted by the Participant while submitting the application for authorisation;

(d) ensure that the exit strategy is employed and all the existing obligations to its customers must be fully fulfilled or addressed; and

(e) submit a final report to the Department on the actions taken pursuant to section 16 within thirty days after the revocation or withdrawal.

Waivers, conditions, restrictions

13. (1) Existing legislative requirements do not generally apply initially to participants.

(2) On receipt of an application for a licence to carry out FinTech Lab activities, the Department works with the applicant to identify the provisions of the framework regulations and the rules that are relevant to the proposed FinTech Lab activities and issues, as appropriate, individual guidance to the applicant or a participant according to the specific characteristics of, and risks associated with, the proposed FinTech Lab activities.

(3) The Department may, on the application of a person or its own initiative and by written notice—

(a) waive or modify any condition, restriction or requirement of the framework regulations and the rules in relation to FinTech Lab activities or proposed FinTech Lab activities; and

(b) define appropriate conditions for a participant at authorisation and through different stages of testing or developing the FinTech Lab activities.

(4) Conditions defined by the Department in relation to a participant, referred to in subsection (3) (b), are specified in the Schedule, and may include, for example, conditions in relation to the following—

(a) type of clients with or for whom the participant is permitted to carry on FinTech Lab activities;

(b) the type and size of client transactions that the participant is permitted to enter into;

(c) whether the participant is permitted to hold or control client money and client assets, including investments or other financial instruments.

Monitoring

14. (1) The participant is subject to monitoring by the Department throughout the validity period of the licence.

(2) The Department requires that the participant submit information on the fulfilment of the testing or development plan according to section 7(7)(d).

(3) The participant must ensure proper maintenance of records during the testing or development period to support reviews by the Department of the testing or development plan.

Interim reports

15. (1) The participant must submit interim reports to the Department on the progress of the testing or development plan, which must, without limitations, include information on the following—

(a) key performance indicators, key milestones and statistical information, covering the number of clients served, the number of transactions performed, the values of transactions, the number of customer complaints and other indicators;

(b) key issues observed from his or her fraud or operational incident reports and resolution of customer complaints (if any); and

(c) actions or steps taken to address the key issues referred to in paragraph (b).

(2) The frequency of, and specific details for, reporting will be defined by the Department, depending on the duration, complexity, scale and risks associated with testing or developing the FinTech activities.

Final report

16. The participant must submit a final report containing the following information to the Department within thirty days from the expiry, the revocation, or the withdrawal of the licence—

(a) key outcomes, key findings, risk management measures of the testing or developing the FinTech activities and other information as per the request of the Department;

(b) a full account of all incident reports and resolution of customer complaints (if any); and

(c) in the case of a failed test or development, the lessons learnt.

General

17. (1) Unless an extension of the licence is requested pursuant to section 10, or at such time as otherwise might be necessary and agreed by the HoD, the participant will be required to exit the FinTech Lab and choose to either—

(a) migrate to the full authorisation and supervisory regime under the Centre regulatory framework and deploy its FinTech activity on a broader scale; or

(b) continue its business in the Centre as a non-regulated activity; or

(c) exit following the procedure specified in section 11(2).

(2) A participant may migrate to full authorisation only where—

(a) the Department and the participant are mutually satisfied that the intended test or development outcomes have been achieved; and

(b) the participant has demonstrated the ability to fully comply with all relevant legal and regulatory requirements set out in the international financial services centre that apply to the carrying on of the regulated or market activity.

(3) The participant may continue its business in the Centre as a non-regulated activity in certain circumstances when, for instance, the testing or developing FinTech activity will be classified by the Department as a non-regulated activity.

(4) The content of the exit strategy of the participant may vary based on commercial needs, and may include ceasing the business, or transferring the FinTech activity and engaged customers to other authorised financial institutions.

(5) The Centre may, subject to the approval of the Minister, make rules for the proper functioning of the FINTECH Lab.

SCHEDULE (*Sections 4(2)(f), 13(4)*)

Conditions for commencing business with clients

1. A participant must meet the following minimum requirements before commencing business with clients—

(a) the participant must demonstrate evidence of the availability of the policies, procedures, arrangements, systems and controls required by AML;

(b) the participant must appoint a chief information technology officer, who must be an individual responsible for the participant's ongoing information technology (IT) operations, maintenance and security oversight to ensure that the participant's IT systems are reliable and adequately protected from external attack or incident;

(c) the participant must have a client agreement that outlines the risk disclosure measures required by the participant's licence issued by the Department;

(d) the participant must comply with the laws of the international financial services centre;

(e) the participant must provide to the Department a signed statement certifying that the participant has adequate measures in place to ensure the following—

(i) that the participant's IT systems are resilient and not prone

to failure;

(ii) business continuity if a part of the IT system fails;

(iii) the protection of the IT systems from damage, tampering, misuse or unauthorised access;

(iv) the integrity of data forming part of, or being processed through, the IT systems;

(v) real time monitoring and reporting on system performance, availability and integrity;

(vi) that policies and procedures for the IT systems are adequately established and maintained;

(vii) that the participant has sufficient resources to operate without disruption, maintain and supervise the participant's IT facilities;

(f) the participant must provide to the Department evidence of the availability of adequate funds to meet at least twelve months of operational expenses, as per the participant's application to become a participant;

(g) the participant must ensure that client money is held in a segregated client money account with a third-party account provider that is a bank or a regulated financial institution that is authorised in any jurisdiction to accept deposits;

(h) if the participant is providing digital asset transactions, the participant must have arrangements in place to ensure storage of client funds on a hot digital wallet at most equivalent to 10 Bitcoin (further BTC) or 10% of all client funds or assets, whichever is greater.

Testing limits

2. (1) The Department defines conditions for activities of the FinTech Lab participants by setting standardised limits on the size of funds, types of clients permitted for Testing FinTech activities, which are determined based on the maturity of the FinTech firm, riskiness and type of activity.

(2) The Department does not impose any limits on the number of clients, size of funds, or types of clients for developing FinTech activity, given that they are performed by the firms authorised in foreign jurisdictions.

(3) The maximum size of funds (per client or investor) up to which the client fund account is permitted to be deposited or refilled is reflected in Table 1:

Table 1:

	A	B	C	D
#	**Currency**	**Retail Clients and Investors: natural persons**	**Retail Clients and Investors: Body Corporates**	**Professional Clients and Accredited Investors**
1	Fiat Currency	1,000 (thousand) USD or equivalent	20,000 (twenty thousand) USD or equivalent	within aggregated limits
2	Operating a Digital Asset Trading Facility or Providing Custody for safeguarding and administering Digital Assets belonging to another Person	0.5 (point five) BTC or equivalent amount in another Digital Asset	5 (five) BTC or equivalent amount in another Digital Asset	within aggregated limits
3	Any other Digital Asset related business	0.25 (point twenty- five) BTC or equivalent amount in other Digital Asset	2.5 (two point five) BTC or equivalent in other Digital Asset	within aggregated limits

(4) The maximum size of aggregated funds of clients that a FinTech Lab participant is permitted to hold without ensuring a compensation arrangement (which can be, for instance, in the form of performance assurance or guarantee) at any given instance for the purpose of testing the FinTech activity is—

(a) for retail clients and investors—

(i) two hundred thousand (200,000) United States Dollars or equivalent Fiat Currency; or

(ii) fifty (50) BTC or equivalent Digital Asset.

(b) for professional clients and accredited investors—

(i) five million (5,000,000) United States dollars or equivalent Fiat Currency; or

(ii) one thousand and two hundred fifty (1,250) BTC or equivalent Digital Asset.

(5) If a FinTech Lab participant has an adequate arrangement to compensate its clients against losses or damages, the Department may consider increasing the values of maximum sizes of retail clients' funds outlined in paragraph 1 (c) and (d).

(6) The Department must be appointed as the trustee of a performance assurance or guarantee provided by a FinTech Lab participant.

(7) The Department may, at any time, increase or reduce a limit under paragraph 1(c) or (d) for a particular FinTech Lab participant, or a person who is an applicant to become a FinTech Lab participant, if satisfied that it is justified to do so.

(8) FinTech Lab participant may apply to the Department for a limit applying to it under paragraph 1 (c) or (d) to be increased. Without limiting the grounds on which the participant may justify the application, the participant may justify the application on one or more of the following grounds—

(a) successful performance of the authorised FinTech Activity during a period of six months without any incident and with proper execution of the participant's Testing or Developing plan;

(b) fulfilment of all requirements in relation to systems and controls, and all legal and regulatory requirements;

(c) providing adequate arrangements to compensate its clients against losses or damages in the case of default.

Outsourcing core functions

3. (1) The Department generally permits a FinTech Lab participant to outsource any of the participant's functions to a service provider (including a service provider within the participant's Group). However, the FinTech Lab participant remains responsible for compliance with the requirements of the regulations and rules.

(2) If the Department has difficulty in obtaining information from the FinTech Lab participant about an outsourced function, the Department may limit the outsourcing of the function.

Minimum number of employees

4. FinTech Lab participant shall appoint at least two individuals who can carry out the functions of approved individuals and designated individuals, and at the same time ensure that there is no conflict of interest in the carrying out of the functions.

Guidance

5. One person may hold the positions of senior executive officer and finance officer, and another person may hold the positions of compliance officer and money laundering reporting officer.

Use of corporate bank accounts

6. A FinTech Lab participant is allowed to receive and hold Client funds in corporate bank accounts of a third-party account provider, which is a bank or a regulated financial institution which is authorised to accept deposits or funds, subject to relevant segregation of funds in place.